THE CHILDREN'S INVESTMENT FUND

PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q2 2007 Report

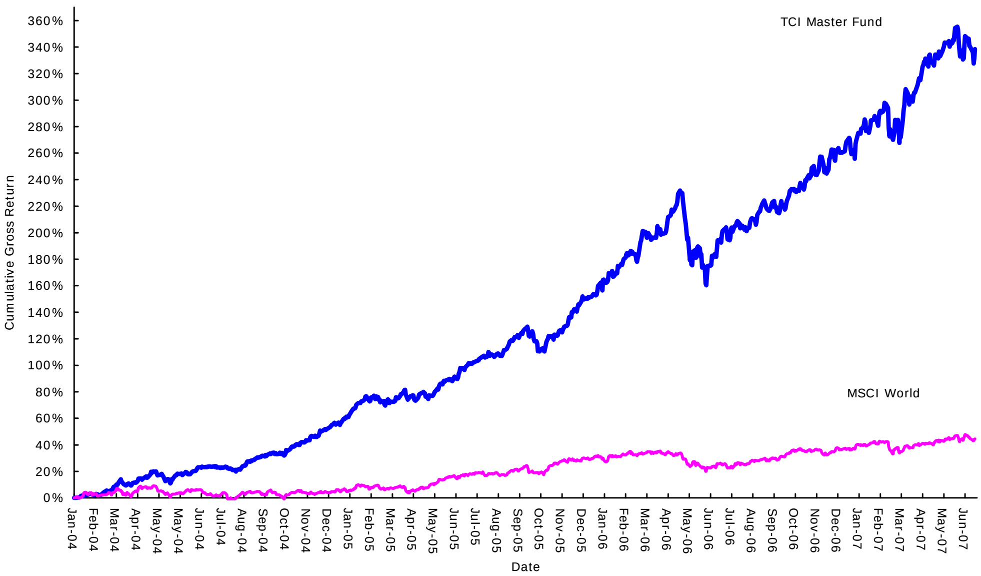
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) $	Class A (3yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World (€)
Apr 2007	10,760	+4.99%	+4.81%	+4.99%	+4.81%	+1.76%
May 2007	11,148	+4.38%	+4.30%	+4.38%	+4.30%	+4.17%
Jun 2007*	10,945	-2.34%	-2.43%	-2.34%	-2.43%	-1.05%
Q2 2007		+7.02%	+6.66%	+7.02%	+6.66%	+4.88%
Q1 2007		+7.61%	+7.37%	+7.61%	+7.37%	+1.14%
YTD 2007		+15.16%	+14.52%	+15.16%	+14.52%	+5.81%
Inception Jan 2004		+240.21%	+235.91%	n/a	n/a	+44.43%

Sources: Citco Fund Services (Dublin) Limited, Bloomberg LP, The Children's Investment (TCI) Fund Management (UK) LLP, MSCI Barra. Notes: Class C inception was March 1, 2006. *Performance figures are estimates.

TCI Master Fund (€) vs. MSCI World (€) Since Inception



Sources: Citco Fund Services (Dublin) Limited, Bloomberg LP, The Children's Investment (TCI) Fund Management (UK) LLP, MSCI Barra. Notes: Performance for TCI Master Fund is gross.

The fund ended the quarter up approximately 7%+ net of fees (US dollar class) and is now up 15%+ net of fees (US dollar class) for the year.

2. Key Fund Data

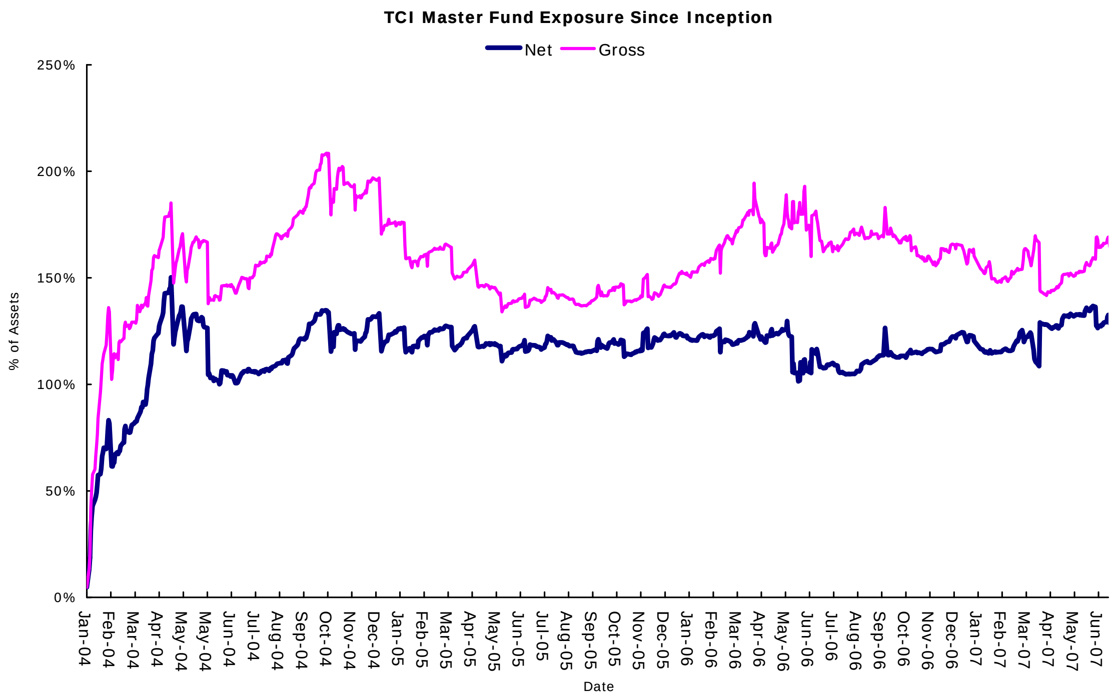
The net long exposure of the portfolio has increased primarily as a result of increasing our holding in ABN Amro bank.

a. Exposure Summary

% of Master Fund Net Assets						
Period	**Outright Longs**	**Outright Shorts**	**Long side Arbitrage and Pairs**	**Short side Arbitrage and Pairs**	**Gross**	**Net**
End Dec 2006	131%	-3%	13%	-17%	164%	124%
End Jan 2007	125%	-3%	10%	-16%	154%	116%
End Feb 2007	125%	-2%	9%	-16%	152%	116%
End Mar 2007	132%	-22%	6%	-6%	166%	110%
End Apr 2007	134%	-6%	3%	-4%	147%	128%
End May 2007	144%	-6%	3%	-5%	158%	138%
End Jun 2007	145%	-12%	3%	-4%	164%	133%

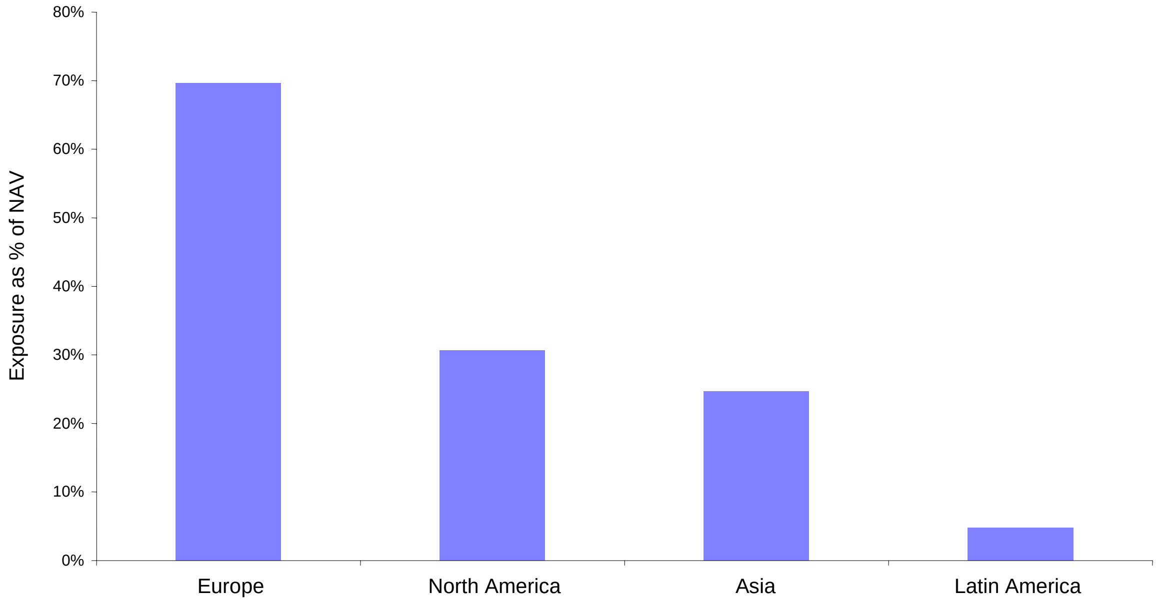
Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Our current net long exposure in early July is approximately 129% of NAV.



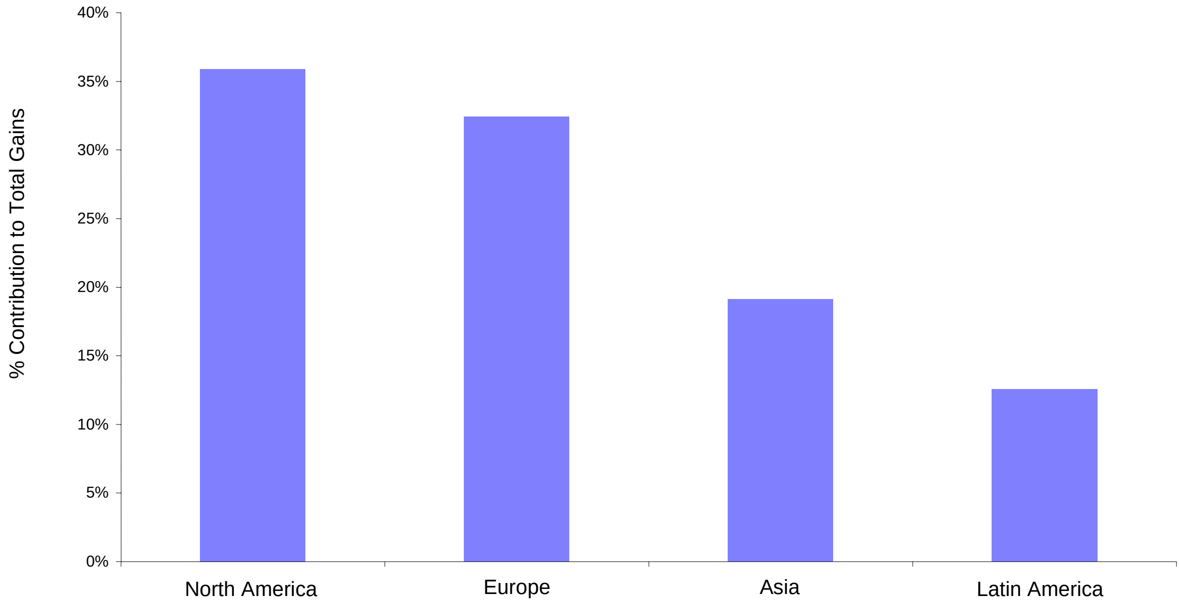
Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

b. Geographic Portfolio Exposure



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

c. Geographic Split of Gains in the Quarter



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

3. Performance Attribution Q2 2007

Appendix 1 shows the top positions that contributed to a gross performance for the quarter of 9%.

Position	% Contribution to Gross Performance	% of Total Q2 Gains
Major Contributors		
US Railways	+2.4%	+28%
Cemig	+1.7%	+19%
ABN Amro	+1.1%	+13%
Indian Banks	+0.9%	+11%
Major Detractors		
Japanese Utilities	-1.9%	-22%

Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

4. Portfolio Update[1]

- ### CSX

CSX performed well during the quarter (+12%) as the US railroad sector rallied on the filing of Warren Buffett in 3 of the 4 US class 1 railroads during April and with Q1 results showing the major rails achieving strong pricing despite volume declines. CSX achieved like for like pricing of +7% year-on-year in Q1. The company also announced an additional 5% buyback 2 hours before our speech at the Bear Stearns railway conference, bringing to 15% the total announced buy backs of the company.

- ### Cemig

Brazilian equities continued their strong run this year with continued reductions in interest rates, which are now down to 12% versus the 20% when we first invested in Brazil.

Brazilian utilities were very strong share price performers this quarter as local investors continued to move money out of fixed income and into equities, especially high dividend yielding ones. Cemig's share price appreciation plus dividends paid during the quarter totalled 30% in local currency and 36% in US Dollars.

Company specific news included the renewal by the national government of two of the company's large concessions, at no cost to the company reducing one of the major risks in the investment.

Cemig remains one of the highest dividend yield stocks in the Brazilian market and trades at 10x our normalised (for long term electricity prices) free cash flow.

[1]Disclaimer: For the purposes of simplicity, investment descriptions are written assuming the TCI Master Fund is a physical shareholder. However, in some cases the position is held in swap using Contracts for Differences (CFDs).

❑ ABN Amro

During the quarter, some potentially negative news occurred with the Attorney General recommending to the Supreme Court of the Netherlands that the sale of La Salle Bank by ABN Amro does not require a shareholder vote. The Royal Bank of Scotland consortium bid is currently conditional on being able to buy La Salle Bank.

It is our opinion that Royal Bank of Scotland will still re bid at a similar or unchanged price even if it is not able to purchase all or part of La Salle. At €34 share price where the shares traded after the announcement of the legal ruling (in line or slightly higher than the Barclays offer) the market cap equalled only the sum of the prices being paid by Santander and Fortis and Bank of America for the assets which they are bidding for plus the value of the Capitalia stake and private equity portfolio. The original bid prices an expected return on €38.5 bid value (potentially adjusted for any litigation from Bank of America) of 13% for a 3 month deal.

In other words all the assets which Royal Bank of Scotland desired were being priced at zero. RBS has stated that they think these assets (the global wholesale bank and Asian business) should be able to earn €2bn of net income post-combination synergies. Under this assumption and valued at 11x they would be worth €12 per share giving a total value of €46 per share for the whole of ABN Amro. Given this substantial upside to fair value we do not believe that RBS will walk away which is what the share price of ABN Amro currently discounts.

The Supreme Court has stated that they will announce their decision on July 13th and we would expect both the Barclays and RBS bids to be announced in the following week.

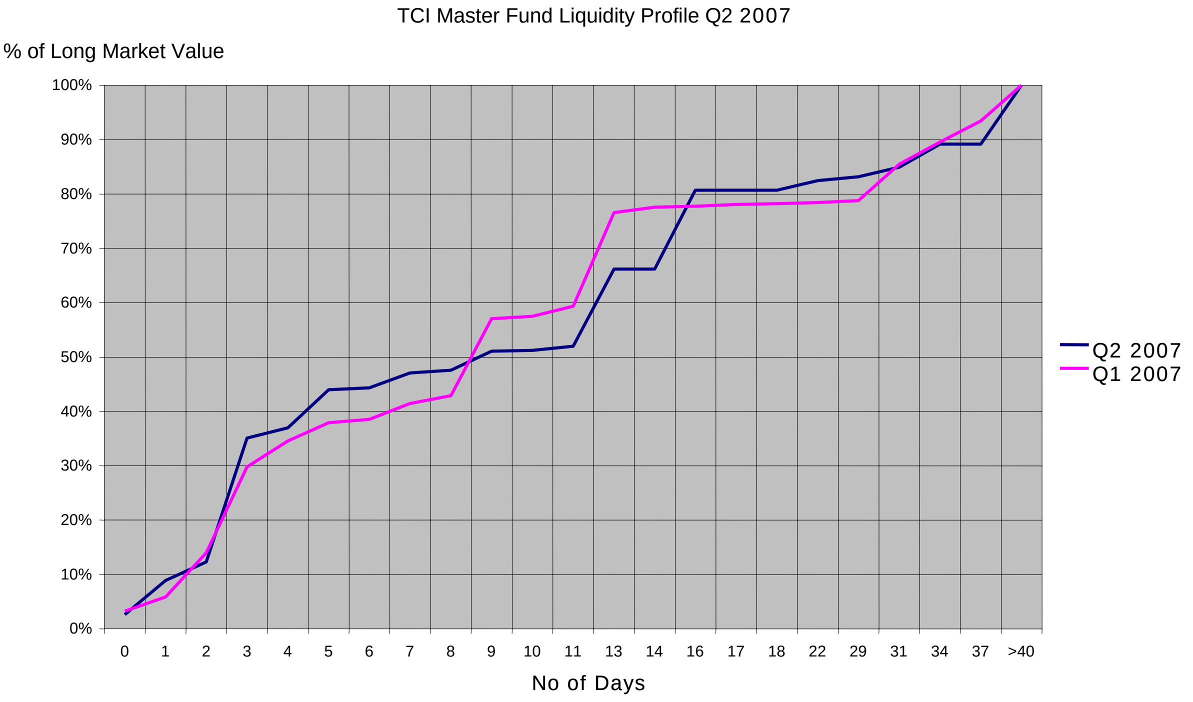
❑ Indian Banks

Indian banks appreciated significantly during the quarter. State Bank of India rose 64% as the company announced that it was forming a holding company that might serve to highlight the substantial value of their life insurance business. Punjab National Bank rose 27%. Indian banks are a desirable asset class for investors with the leading private sector bank, ICICI, placing $5 bn of stock during the quarter. Strong earnings for the public sector banks and recognition that they have been heavily de-rated and left behind in the bull market in Indian equities over the last few years are potential reasons for the strength.

❑ Japanese Utilities

At the end of June JPower and Chubu Electric shareholders voted at their AGMs on TCI proposals that their dividends be raised. Approximately 35% of JPower shareholders and 20% of Chubu shareholders voted in favour of our proposals. These results are clearly disappointing and contributed to sharp share price declines both ahead and after the AGMs. JPower declined 14% during the quarter and is now down around 30% from its high reached earlier this year. We believe that both shares offer significant value.

5. Liquidity Analysis



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages. Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading.

The fund's liquidity remained stable between Q1 and Q2.

6. The Firm

a. Personnel

During Q2, there were the following additions to the business management team:

- Operations: Adrian Beattie joins us as an Operations Technical Specialist with ten years pure operations experience, which includes senior roles at both Caceis Bank and BISYS. He will focus his time on longer-term operational projects.

- Legal: Dwain Davies and Eva Kauerova joined us as paralegals, taking our legal team to five.

- Investor Relations: The investor relations team doubled to four people. Jolanda Niccolini, formerly a Director at Schroders, and Karoline Keane, formerly in the Investor Relations team at Citco Fund Services (Dublin), will work with Nicky and Rahul to further strengthen our investor relations function.

b. Investor Relations

- Investor Days

TCI and TCI's affiliated investment managers held their investor days in June at The Pierre Hotel in New York. If any investors were unable to attend and require hard copies of the materials that were circulated to be sent to them, then please contact Rahul who will happy to assist.

7. TCI Affiliated Investment Managers

a. Algebris Investments

The Algebris Global Long/Short Financials Fund was up 6.5% for Q2 2007 (20.7% YTD for 2007 and 29.7% since October 2006 inception). The firm now manages $1.5bn of assets. The fund is currently closed.

b. KDA Capital

KDA Capital, the long only absolute return fund focusing on mid- and large-cap European equities, was up 5.5% for Q2 2007, taking its performance to 12.3% vs. 10.8% for MSCI Europe for 2007 and 56.7% vs. 39.5% MSCI Europe since December 2005 inception. The firm now manages $1.8bn of assets. The fund is now closed.

c. Parvus

Parvus's European Absolute Opportunities Fund, which focuses on long/short European equities, was up 4.0% for Q2 2007. The fund is up 7.7% for 2007 and 119% since October 2004 inception. The firm now manages $3bn of assets. The fund is currently closed.

For further information on TCI and it's affiliated managers please contact Rahul Moodgal by email at rahul@tcifund.com or by telephone on +44 20 7440 2384.

Christopher Hohn
Managing Partner

July 2007

Appendix 1 – Top Long Positions

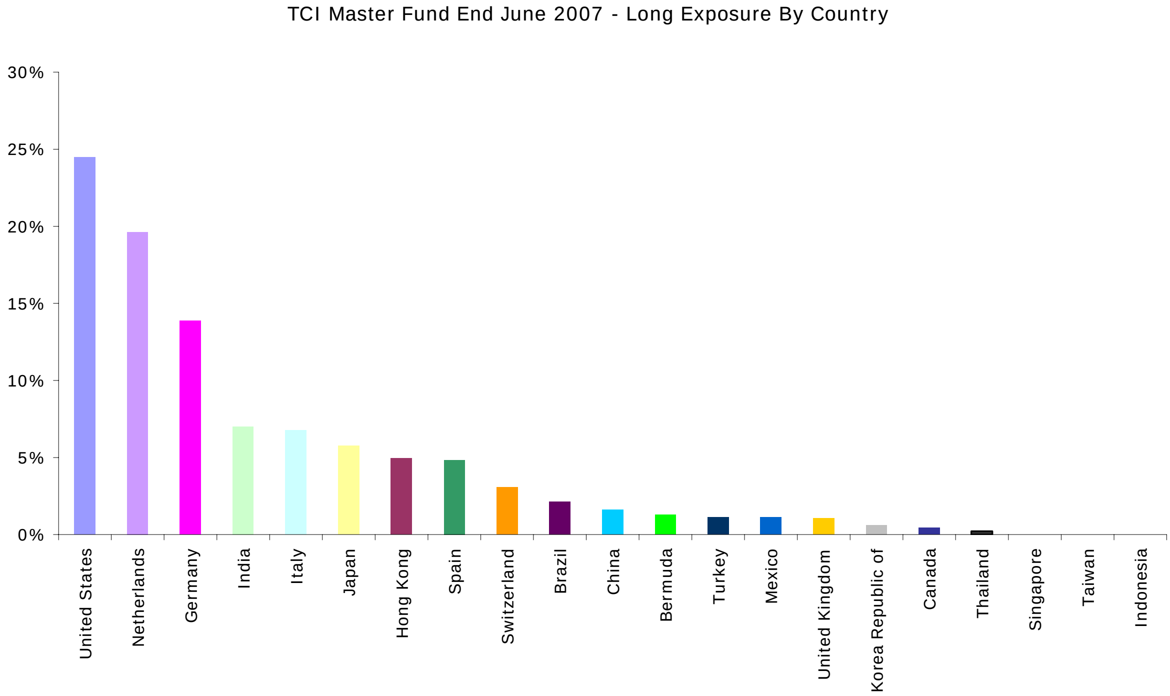
Top Long Positions at Quarter End – Q2 2007 Trading Gains/Losses

Outright Long	Country	Market Cap ($bn)	% Contributed to P&L
ABN Amro	Netherlands	88	1.1%
Deutsche Boerse	Germany	23	-0.6%
US Railways	USA	>20bn	2.4%
Intesa San Paolo	Italy	96	0.3%
Link REIT	Hong Kong	5	-0.4%
TOTAL			**2.8%**

Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

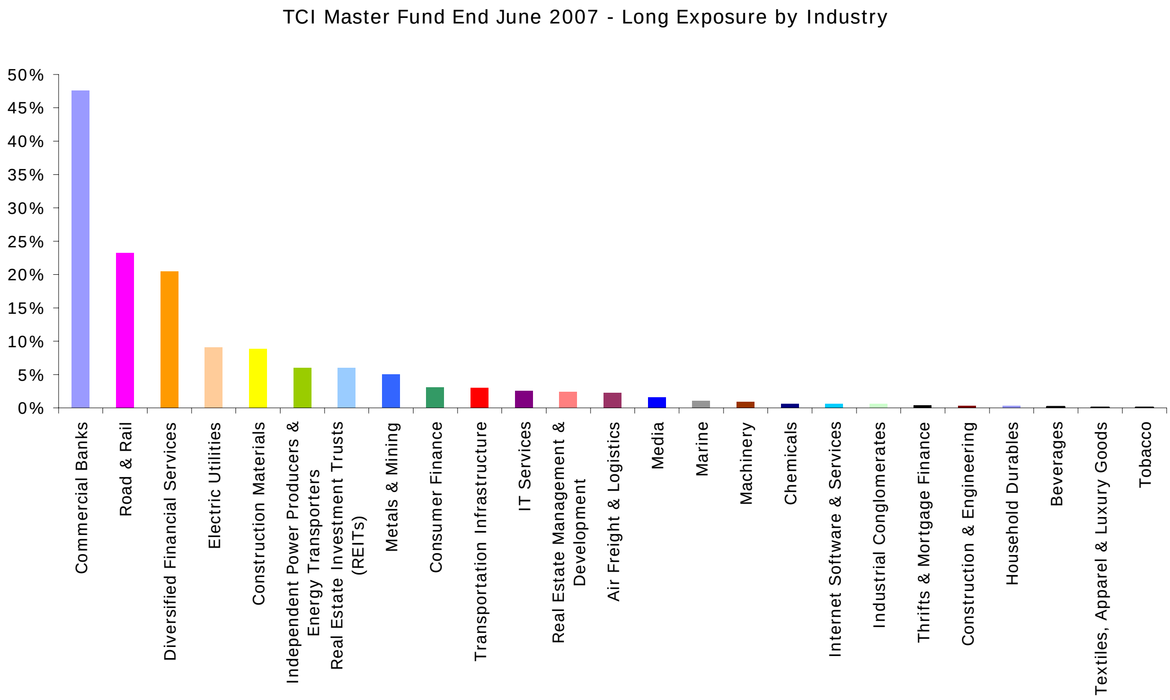
Appendix 2 – Quarter End Country and Industry Long Exposures

Country Exposures



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Industry Exposures



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Appendix 3 – TCI Master Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) $	Class A (3yr) €	Class B (5yr) $	Class B (5yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World (€)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+2.24%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.43%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			+0.54%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01			+3.14%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			+0.52%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			-1.05%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.81%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+1.26%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-1.89%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			-1.10%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			-0.30%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-3.31%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			-0.53%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+1.29%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+1.62%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+2.39%
2004		**+41.95%**	**+43.04%**	**+43.65%**	**+44.39%**			**+3.40%**
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			+1.56%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+1.53%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-0.18%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-1.70%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+6.21%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+2.34%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			+6.75%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.30%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			-1.26%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+5.20%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+7.30%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.21%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+4.93%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+1.62%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+4.27%
2005		**+49.66%**	**+48.90%**	**+51.48%**	**+50.68%**			**+17.58%**
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+1.77%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			+1.68%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+0.30%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+3.79%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	-1.33%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-5.03%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.03%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-6.45%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.73%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.02%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+2.18%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+5.00%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+2.89%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	-1.45%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+2.29%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+4.33%
2006		**+38.99%**	**+36.76%**	**+40.45%**	**+38.08%**	**+24.57%**	**+22.97%**	**+6.36%**
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+2.91%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-2.61%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+0.91%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+1.14%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+1.76%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+4.17%
Jun 2007*	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-1.05%
Q2 2007		+7.02%	+6.66%	+7.27%	+6.91%	+7.02%%	+6.66%	+4.88%
YTD 2007		**+15.16%**	**+14.52%**	**+15.72%**	**+15.06%**	**+15.16%**	**+14.52%**	**+5.81%**
Inception Jan 2004		**+240.21%**	**+235.91%**	**+253.79%**	**+245.53%**	**+43.51%**	**+40.91%**	**+44.43%**